

Liability Coverage

Liability coverage ratio is an extension of the debt coverage ratio. It is used to check whether a company can repay all liabilities through internal generation. This ratio is calculated by dividing the internally generated funds of a company by its average total liabilities:

$$\text{Liability coverage ratio} = \frac{\text{Internally generated funds}}{\text{Average total liabilities}}$$

Illustration

In its latest year ended 31 March, Tongues and Tongs Ltd. generated Rs. 500 lakh internally. Its total liabilities at the end of the previous year and the latest year were Rs. 3,500 lakh and Rs. 4,500 lakh, respectively.

$$\text{The liability coverage ratio} = \frac{500}{0.5 \times (3500+4500)} = 0.25$$

This means that internally generated funds were only 25 percent of the company's total average liabilities. At this level, the entire debt can be paid off in 4 years.

It is also possible to calculate this ratio using the liabilities figure at the date of the balance sheet, the argument being that what has to be considered is the time it would take to repay the total liabilities at a particular time.